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UNRAVELLING Exporters say scarcity of skilled labour and rampant absenteeism drag down factory productivity and drive up garment-making costs

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It's not a problem for the bigger factories, which can provide hostel for workers. But those that cannot have to contend with lower productivity, like in the case of Eastern Global Clothing. CEO D.M. Kumar estimates Tiruppur is working only at 30-35 per cent efficiency, while Bangladesh functions at an enviable 80-85 per cent. "If I'm working only at 35 per cent of installed capacity, the fixed costs get divided among fewer pieces. So, my rates go up. But because of higher efficiency in Bangladesh and Vietnam, their costs get divided among more pieces and the garment costs less."

With so many challenges, how can we keep blaming yarn prices alone, he asks. Take the matter of infrastructure: "Many buyers who import from China and don't consider India at all say it takes about 30-36 hours to come to Tiruppur, that too after multiple stops." But they can choose from 30-40 flights to land in Guangzhou or Shanghai from New York in 12 hours, he adds. Even today, when virtual meetings are the order of the day, seeing is believing for international buyers, who want to look at the products before placing big orders, he says. "Tomorrow, if the government slashes yarn prices by 50 per cent, can Tiruppur increase its export share? In three years, can India double its share to 6 per cent? Definitely not!"

Any industry segment China operates in, they go in with a road map and provide infrastructure support like labour housing and treatment plants upfront and ask the companies to make use of it to achieve the envisioned growth, says Tiruppur Exporters' Association

President Raja M. Shanmugham. "That's why despite not having any FTAs with any of the importing nations, they are able to hold 40 per cent of the export market share, not just in this category, but in any category they operate in."

The Tamilnadu Exporters and Manufacturers Association (TEAMA), representing 450 members, is trying to tackle the labour problem by setting up a garment manufacturing park in Vedharanyam. The town, 400 km away from Tiruppur, has a lot of women who can be easily trained, says President M.P. Muthurathinam. The companies and their ancillary functions will remain in Tiruppur, but garment assembly will be shifted, he clarifies. "The park, funded by the state and central governments, has been operational for about a year now. Thousands of women have begun working there. At full capacity, 10,000 people can work there." Labour costs also work out cheaper and they have identified seven locations like Cuddalore, Thiruvannamalai and Sivakasi to replicate the model in, he adds.

But this model won't work for high-fashion garments with embroidery and embellishments because it involves a lot of back and forth between various departments, other exporters say. Krish is a lot less optimistic. "Manchester was like Tiruppur 50-60 years ago. They had cotton mills, manufacturing and all processes. Because of labour cost increase, they began outsourcing to India and they became an importer. Maybe in another 20 years, we will also become garment importers and send it to stores." **BT**

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